

REVIEW OF DI PRICE INCREASE 2012

In general the List Price increases in the interim Quote Forms released 1/6/12 are the same as those implied by the interim pricing in use until now and reported in an email to you 12/8/2011 in the form of multipliers to be used on the old list pricing.

The following exceptions explain why the “nominal” increase is not the “exact” increase item by item.

1. List Prices are rounded up to the nearest dollar.
2. Buy/Sell items and low margin items (typically fittings above 12”) were adjusted by larger amounts, sometimes lesser amounts and sometimes not at all. In some cases the increase was very much larger. The need to increase prices so much for these items was because margins were very low and even negative. These items are typically very low volume items and/or not of much importance on a typical job. Please be on the alert for when they are important. In cases where we didn’t increase prices it was because our margins happen to still be adequate. For the large fittings our pricing was much lower than Leemco’s even before their increase.
3. The Thread Fitting Category list prices were raised significantly more but were set so that a “level” multiplier for the DI product line in the Golf Market for Golf-P customers with .51x multipliers will yield the intended 14% increase. List prices went up 67% for this category. Other customer classes with higher DI multipliers would yield higher Thread Fitting price increases were they to use their DI multiplier for the Thread Fitting Category. We are doing an update of brass nipple market pricing before we finalize what multipliers will apply to Thread Fittings for customers other than Golf-P. This we will do before 2/6.

Summary of the “Nominal” 2012 DI Price Increase follows:

Category A/Fittings: ~14%

Category B/Lateral Connections: ~14%

Category C/Restraints: ~10%

1 ½” – 3” Knuckle Restraints: ~30%

Category D/Thread Fittings: ~14%.....see note 3 above.

Category E/Valves: ~8%

2” LIV’s: ~25%

Details of increases that depart from the “nominal” increases noted immediately above:

See accompanying Excel spread sheet for a list of fittings, their new list price, their old list price, and the percentage increase. This spread sheet should not be forwarded to any customer without Ed’s prior agreement.

Types of items showing increases different than nominal for reasons other than rounding:

1. Buy/Sell Items >12”some items went up Zero. This is not a mistake.
2. Harco made items >12”

3. Flange Accessories
4. Double Strap Saddles all types
5. 24" Swivel Extension.....*we are probably going to remove this item*
6. DI Swing Joints
7. Valve Spare Parts

Other Notes & Remarks:

1. 2" LIV's went up so much because our margins were relatively low to begin with. Cost increases in the last 4 years and in particular in the last 1 ½ years drove us to breakeven compelling us to raise prices 25%. The 2" valves have a higher proportion of stainless steel and labor. These two items had high cost increases in China in particular. Also the knuckles went up a relatively large amount and are a larger percentage of valve cost in the 2" than in the larger valves. Larger valves had more initial margin that allow us to absorb some of the increase. We are also more limited on raising prices on the larger valves because of the threat of substitution with gate valves.
2. Knuckles went up so much because our costs went up so much. These items have to be machined, heat treated, and assembled. Labor in China has risen rapidly.
3. Large diameter fittings went up so much because they are typically made in different foundries requiring more labor, have lower mold yield, and are made in very small batches. We had been pricing these too low relative to Leemco anyway. Price adjustments tried to consider our margin requirements and likely position of Leemco after we and they finish maneuvering.
4. We elected not to coordinate pricing versus MJ in 6" and smaller in part because we were not confident we know what MJ pricing is and it appears we would have to lower pricing which would be across the board and counter to our need to increase profits. For now it will be necessary to identify when MJ is in play and special price.
5. Assembled tees were left where they were because we can anticipate Leemco reaction by broad multiplier adjustments in the heat of battle. We would rather keep things proportional to Leemco as much as possible. Disincentives to the use of these we will consider with restock policy.
6. Why 14% on Fittings etc. and 10% on Restraints given Leemco's apparent 25% increase? Because they yield an increase that we are comfortable with implementing. These price increases are not enough to recover our cost increases. The Restraints we had higher margin on to begin with. We are also mindful about substitution threat by MJ and Megalug. We will need to watch carefully for this moving forward anyway.
7. Category implementation: by 2/6 all categories will be implemented in the system for your use to respond to Leemco. We can anticipate continued if not a higher level of price competition in the West from Leemco by way of price cutting with their categories.